

In contrast, Indian climate tech businesses received just \$1 billion in VC funding between 2016 (when the Paris Agreement was signed) and 2021, reveals a report by London & Partners and Dealroom.co. Ad-hoc investments by impact funds, global foundations and generalist VC firms account for most of the climate-tech investments in India.

On the other side of the equation is a set of private equity (PE) players like Warburg Pincus, TPG, Green Growth Equity Fund (GGEF), and GEF Capital Partners (GEF) who primarily invest in climate-tech infra companies. In the past few years, a number of global development finance institutions (DFIs) such as the UK's British International Investment (formerly CDC) and the Netherlands' FMO have been doing direct investments, or co-investing with funds in which they are the limited partners (LPs).

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IN INDIA, TOO, a few early-stage climate-tech focussed VCs have set up shop. Nature-Fix Climate (NFC) Ventures—a \$200-million climate-tech-focussed VC fund launched by impact investor Harsha Moily and former Abraaj India MD Balaji Srinivas—is looking to tap into the massive climate-tech start-up opportunity. IIM Ahmedabad's incubator-cum-accelerator, the Centre for Innovation Incubation and Entrepreneurship, is also planning to launch a new climate tech fund—named Bharat Innovations Fund—with a target corpus of \$100 million. Investment advisory firm Unitus Capital is raising a dedicated climate-tech fund, too, sources say.

The emergence of these dedicated early-stage funds is indicative of the opportunity present in the climate-tech space. There is a sense of urgency among enterprises to start their net-zero journeys, and fulfil the sustainability commitments made to the board and shareholders.

GREEN FUNDING

→ **Sustainable investments account for 10-15 per cent of the total AUM being managed by PE/VC firms in India**

→ **The total value of these investments in 2021 was estimated to be \$18.80 billion. It is expected to grow to \$125 billion in the next five years**

→ **It includes ESG and sustainability investments across offline/infra companies and digital firms**

→ **Renewable power, e-mobility, agri-tech, and waste management are the sectors attracting investments in India**

→ **Key challenges include a lack of quality data, measurement criteria, traditional mindsets, a limited record of sustainable funds, and a lack of awareness**

SOURCE: SUSTAINABLE INVESTMENTS REPORT BY BENORI KNOWLEDGE



Indian corporates are also striving to bring transparency in their carbon footprint reporting to meet the stringent sustainability standards on sourcing and supply chains being set by their global clients. In addition, the societal need for sustainability across sectors is being felt like never before, and policy support from the government offers tremendous thrust to the cause.

However, climate-tech start-ups and investors are staring at a classic chicken-and-egg situation. Aavaana's Bansal says that her firm is seeing 200 start-up investment opportunities/pitches in a quarter, but admits that there is a severe lack of early-stage capital for them.

Shyam Menon, Partner & Co-founder at Bharat Innovations Fund agrees. "The equity gap in pre-Series A, Series A and B, from \$1-2 million to all the way up to \$10-15 million is real. Once you cross the Series B mark, and the business hits \$10-15 million top line with reasonable unit economics, it is easier to get growth capital. It's a pure business opportunity for investors, irrespective of whether it is climate, or not," he says.

Capital is stuck in the late stages as most PE funds have capital allocation for climate, but the deal flow and pipeline are weak. PE firms typically look for companies that have gone through the journey from idea to Series B for large-ticket investments.

"There aren't many late-stage tech companies in India. Close to 60 per cent of climate-tech start-ups are in the idea- and R&D stage, the rest are in commercialisation and scale-up phase. Climate-tech firms need a longer gestation period, so it will take a while to build large businesses in this segment, but we are getting there," says NFC's Moily.

Bansal feels VCs alone cannot cater to the massive requirement of the space, and that patient, science-based capital for creation of new solutions should come from